Deepa Jewellers Ltd

Concall Tracker · Q2 2027 · first report

1. Snapshot

Hyderabad-based B2B gold jewellery maker known for vaddanam (gold waist belts) and machine-cut bangles. It sells to jewellery chains like Joyalukkas, Kalyan, Lalitha and Bhima and to standalone stores across five southern states, either with its own gold (invoice sales) or by making ornaments from gold the retailer sends (job work).

Number	Value	What it means
Market cap	Rs 2,139 cr	What the market values the whole company at (Screener).
Q2 FY27 revenue	Rs 626 cr	Up 25% on last year; slower than H1's 30% because festive buying shifted into the second half.
Q2 FY27 EBITDA	Rs 45 cr, margin 7.24%	Operating profit up 17%, slower than sales, as plain gold sold more than studded pieces.
Q2 FY27 profit	Rs 37 cr	Up 37%, helped by other income and a lower tax rate from IPO-expense timing.
Gold hedged	94%	Almost all gold held is protected against price swings; target near 100% in two to three quarters.
Stock P/E	18.7x	A moderate price for the earnings (Screener).

2. Concall coverage

Quarter	Date	Transcript read?
Q2 FY27	26 Oct 2026	Yes, read in full ★ (first call as a listed company)

Only one concall exists: the company listed on 8 Sep 2026 and this was its first earnings call. With no earlier promises to check, the consistency read is very limited.

Latest concall highlights: Q2 FY27 (26 Oct 2026)

- Revenue Rs 626 cr, up 25%; H1 revenue Rs 1,057 cr, up 30%. Volume 809 kg, up 13%; job work up 44% while own-gold manufacturing was flat, because shoppers swapped old gold for new and retailers sent that gold to Deepa as job work.
- Guidance: revenue growth of 40-45% a year for FY27, FY28 and FY29 (later also put as 40-50% for two years at a constant gold price), and EBITDA margin up 80-120 basis points over the next four to six quarters.
- New in-house plant in Hyderabad started in September 2026: 21% of volume made there in Q2, expected about 40% in Q3 and about 50% in Q4. Capacity 1.5 tonnes a year on one shift, 2.5 tonnes on two.
- New sales office in Chennai in December after Vijayawada, then Bangalore around April-May. Promoters Ashish and Dev Agarwal stopped drawing salaries from 1 Oct for at least ten quarters.
- Tone: confident and detailed; margin dip blamed on a shift to plain gold, said to normalise.

Business mix & capacity

Domestic vs export: All domestic. Sales are mostly in Telangana, Andhra Pradesh, Tamil Nadu, Karnataka and Kerala; no exports mentioned.

Capacity use: New Hyderabad facility: 1.5 tonnes a year single shift, 2.5 tonnes double shift; 167 kg processed there in Q2 (21% of volume). Long-run aim 65% in-house, 35% outsourced.

3. Earning Trigger thesis

Management points to three growth levers: new sales offices in smaller southern cities (Vijayawada done, Chennai and Bangalore next) that bring standalone stores paying better margins; more studded and temple-style

designs, which earn more than plain gold, with the share of studded aimed at 75% from 57%; and big clients like Kalyan and Joyalukkas opening stores fast. The new in-house plant should cut costs as it takes a bigger share of production from Q3. IPO money funds the extra inventory. It's named and plausible, but this quarter went the other way on mix, and the plant's benefit hasn't reached the profit and loss yet.

Trigger	What management said	Evidence so far	Time horizon	Strength
40-45% yearly revenue growth	FY27-FY29 CAGR of 40-45%; FY27 40-45% over FY26	H1 FY27 up 30%	FY27-FY29	Moderate, needs a much bigger H2
Hyderabad in-house plant	About 40% of volume in Q3, 50% in Q4; benefits in P&L from Q3	21% of volume in Q2	Q3-Q4 FY27	Moderate, ramping
Studded mix to 75%	From 57% in H1 over the next three to four quarters	Fell from 65% last year to 57%	FY27-FY28	Unproven, went the wrong way
New regional sales offices	Chennai in December, Bangalore in April-May	Vijayawada already open	FY27-FY28	Moderate

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Not discussed; growth funded by IPO money, internal accruals and existing debt.
New business	Yes	New sales offices in Chennai (Dec 2026) and Bangalore (Apr-May 2027) to reach new standalone stores (26 Oct 2026).
Margin up	Yes	EBITDA margin to rise 80-120 basis points over four to six quarters, from the plant, studded mix and standalone stores (26 Oct 2026).
New management	No	No change.
New capacity	Yes	In-house Hyderabad manufacturing facility began in September 2026, ramping to about half of volume by Q4 (26 Oct 2026).
Big orders	No	No order book.
Turnaround	No	Not a turnaround.
Promoter buying	No	Not mentioned; promoters gave up salaries for at least ten quarters.

The single concrete driver: A new in-house plant in Hyderabad and new sales offices in smaller southern cities are meant to lift both volumes and margins from the December quarter.

3c. Margin bridge

EBITDA margin fell to 7.24% in Q2 because plain gold jewellery sold more than studded pieces (studded share 57% vs 65% last year), plus depreciation and karigar wages at the new plant before it was carrying much volume. Management says the mix will normalise and margins will rise 80-120 basis points over four to six quarters (one-off).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q2 FY27 (first call)	40-45% revenue growth in FY27	H1 up 30%	Too-early
Q2 FY27 (first call)	Plant to process about 40% of volume in Q3	21% in Q2	Too-early
Q2 FY27 (first call)	Chennai sales office by December	Not yet due	Too-early
Q2 FY27 (first call)	Gold hedge close to 100% in two to three quarters	94% at 30 Sep, up from 75% two to three years ago	Too-early

Narrative drift: No history to drift from yet. The guidance itself was slightly loose within the call: revenue growth was put at 40-45% and later at 40-50%, and the margin gain at 80-120 and then 80-100 basis points. That's worth watching next quarter.

5. Bottom line

Durable earning trigger? → MAYBE

The levers are concrete (new plant, new sales offices, more studded designs) but the payoff hasn't shown yet: margin fell this quarter and the plant's benefit starts only from Q3. Growth is real but rides gold prices and wedding demand.

Management consistent? → MAYBE

First call, so no record. They gave detailed, checkable targets and the promoters gave up their salaries, but the guidance numbers shifted within the same call.

6. Checkpoints for next quarter

- Hyderabad plant processes about 40% of volume in Q3 FY27
- Chennai sales office opens by December
- EBITDA margin moves back up from Q2's 7.24%

This is not investment advice. Do your own due diligence.